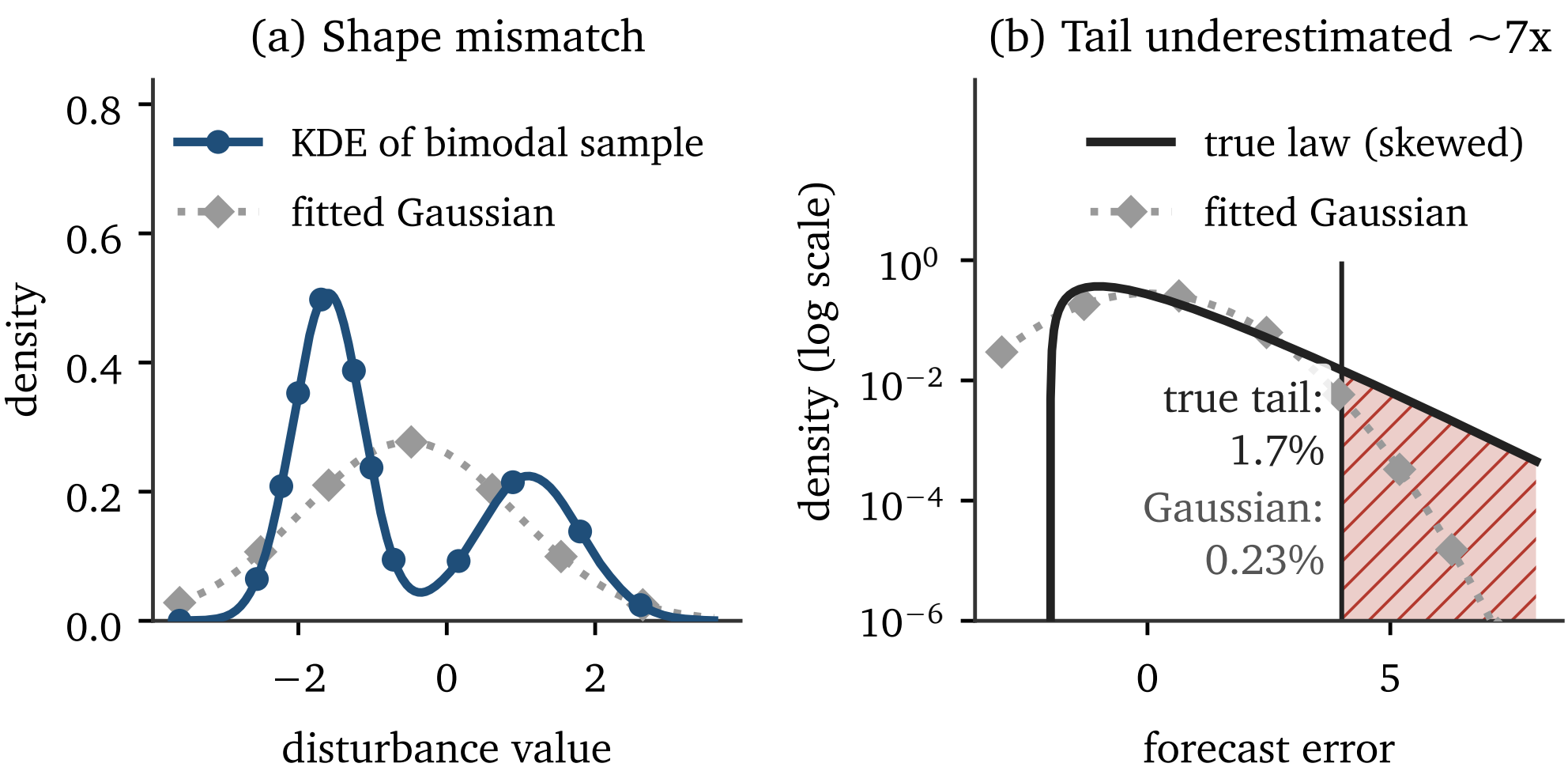
(a) Shape mismatch
KDE of bimodal sample
fitted Gaussian
density
0.8
0.6
0.4
0.2
0.0
−2
0
2
disturbance value
(b) Tail underestimated ~7x
true law (skewed)
fitted Gaussian
density (log scale)
10^{0}
10^{-2}
10^{-4}
10^{-6}
true tail:
1.7%
Gaussian:
0.23%
0
5
forecast error